

CIMA STRATEGIC CASE STUDY

MOCK EXAM 4

FEBRUARY 2025 CLASS



Task 1

Rotomyne is considering a significant **diversification opportunity** through **a joint venture (JV) with EarthCore Mining**. This project involves co-developing a rare earth element (REE) mine in Estorra, a stable and resource-rich region. The Board believes this initiative could provide access to critical materials for clean energy technologies and reduce Rotomyne's reliance on lithium mining.

You receive the following email from Martin Jacobs, Rotomyne's Chief Financial Officer.

From: Martin Jacobs, CFO
To: Senior Manager
Subject: JV Financing and Control Framework

Hi,

The Board has been reviewing a proposal to form a joint venture (JV) with EarthCore Mining to develop a rare earth element (REE) mine in Estorra. This project represents a significant investment, and the Board seeks your analysis on its implications. **Rotomyne's share of the investment is estimated to be P\$400 million, and EarthCore has extensive experience in REE extraction.** The proposed arrangement would have EarthCore manage daily operations, with Rotomyne providing strategic oversight.

I'd like your input on the following for an upcoming Board meeting:

- Firstly, **evaluate** how the proposed joint venture aligns with Rotomyne's strategic goals and **recommend** whether the Board should proceed.

[Sub-task (a) = 50%]

- Secondly, **assess the financing options** for Rotomyne's share of the investment and **recommend** the most suitable approach.

[Sub-task (b) = 50%]

Please refer to the attached memo for more details on the proposal.

Regards,
Martin

Reference Material:

Memo: Joint Venture Proposal

The Strategic Development Team has identified an opportunity to enter a joint venture (JV) with EarthCore Mining to co-develop a rare earth element (REE) mine in Estorra. REEs are essential for **clean energy technologies** such as electric vehicle motors, wind turbines and advanced electronics. **Global demand for REEs is expected to grow by 15% annually over the next decade, driven by the transition to cleaner energy sources.**

EarthCore Mining has over a decade of experience in REE extraction and sustainable mining practices. Under the proposed agreement, EarthCore would manage daily operations, including **compliance and environmental oversight**, while Rotomyne would oversee strategic alignment, **financial performance and customer relationships**. Quarterly performance reports would be provided to both parent companies. Both parties will be represented on an advisory committee that will oversee the joint venture's progress.

Rotomyne's share of the initial investment is estimated at P\$400 million, with projected annual revenues of P\$100 million over a 10-year period. The expected payback period for the investment is five years.

REE extraction and processing pose unique challenges compared to lithium mining. Toxic by-products, such as radioactive waste, require specialised handling to avoid environmental damage. Additionally, the REE market is **geopolitically sensitive**, with supply chains dominated by a few nations. Any disruption in trade policies or international relations could impact pricing and demand. Finally, REE processing is highly technical and requires expertise in compliance and process optimisation.

Environmental regulations in Estorra are known to be stringent, and compliance will be critical for project success. The integration of the JV's reporting with Rotomyne's internal systems will also need careful planning to **ensure timely updates for Board reviews**.

Task 2

You receive the following email from Martin Jacobs, Chief Finance Officer.

From: Martin Jacobs, CFO

To: Senior Manager

Subject: Environmental Compliance Reporting and JV Success

Hi,

The Audit Committee has reviewed findings from the recent compliance audit and the results are concerning. There are clear gaps in how we manage environmental compliance across our sites, and this could have significant financial and reputational implications. Furthermore, EarthCore has raised concerns about our ability to meet the stringent environmental requirements in Estorra for the proposed joint venture.

I'd like your advice on the following for an upcoming Board meeting:

- Firstly, **recommend with reasons** how Rotomyne can strengthen its environmental compliance control environment to address these issues effectively.

[Sub-task (a) = 60%]

- Secondly, **evaluate the power and interest of two key stakeholder groups** (other than shareholders) impacted by Rotomyne's compliance issues and **recommend** with reasons how those stakeholders' interests should be managed.

[Sub-task (b) = 40%]

Regards,
Martin

Reference Material:

Extract from Audit Committee minutes

The Chief Internal Auditor presented findings from the latest compliance audit, highlighting significant issues in environmental compliance across Rotomyne's operations. For instance:

- In one region, reported emissions exceeded legal limits by 20%, yet were underreported in consolidated figures, risking regulatory penalties.
- A processing site in Dromera failed to submit a required environmental assessment for two years, resulting in a warning from local authorities.
- In Latvia, improper waste disposal led to a fine of P\$2 million and mandatory operational changes, increasing costs.

The Audit Committee expressed concern about the potential consequences, including regulatory fines, operational suspensions and reputational damage. These issues also cast doubt on Rotomyne's preparedness to manage environmental compliance in the proposed joint venture (JV) with EarthCore Mining in Estorra. EarthCore has already requested assurances that Rotomyne can effectively address these risks before finalising the agreement.

Estorra's regulators, known for enforcing strict environmental standards, have already requested detailed compliance plans for the JV. Failure to meet these requirements could result in delays, fines or withdrawal of project approval, demonstrating their significant power and interest in Rotomyne's operations.

Local communities in Estorra, highly protective of their natural resources, have voiced concerns about the environmental impact of REE mining. These communities often work closely with environmental advocacy groups, amplifying their influence through media campaigns and public protests. Building trust and ensuring transparent communication will be essential to mitigate resistance and maintain the JV's social license to operate.

Task 3

Several months have passed. You receive the following email.

From: Martin Jacobs, CFO

To: Senior Manager

Subject: JV Environmental Crisis and Governance Failures

Hi,

I have attached a news report that has just gone online.

The recent tailings dam failure at the Estorra JV site has escalated into a critical issue for Rotomyne. On top of the environmental, reputational and operational risks, allegations of a cover-up by EarthCore's COO have added a further ethical dimension to this crisis.

I need your advice on the following:

- Firstly, **evaluate** the reputational, regulatory and operational risks stemming from this incident and **recommend** strategies to address these risks.

[Sub-task (a) = 40%]

- Secondly, **analyse the ethical dilemmas** posed by the whistleblower allegations and Rotomyne's partnership with EarthCore. **Recommend** how Rotomyne should address these issues to uphold its values and protect its long-term interests.

[Sub-task (b) = 60%]

Regards,
Martin

Reference Material:

The Investment Times

Estorra JV faces environmental disaster amid governance scandal

An environmental catastrophe has struck the joint venture (JV) between Rotomyne and EarthCore Mining. The failure of a tailings dam, which is used to store waste materials, at their rare earth element (REE) extraction site in Estorra, has caused toxic materials to spill into the Estorra River, contaminating drinking water, devastating agriculture and threatening local wildlife.

The government's preliminary inquiry blames insufficient safety protocols during the dam's construction and poor maintenance practices. Activists have called it one of Estorra's worst industrial disasters, and clean energy customers are questioning Rotomyne's sustainability commitments.

A whistleblower from the JV site has accused EarthCore's Chief Operating Officer (COO) of **ignoring warnings about the dam's structural issues**. Leaked emails suggest the COO directed staff to omit these concerns from regulatory reports to prioritise production timelines, sparking public outrage. EarthCore denies the allegations, blaming geological factors for the dam's failure, but regulatory authorities are now investigating both EarthCore and Rotomyne for potential criminal negligence.

Governance experts have criticised the JV's structure, citing EarthCore's operational control and lack of transparency as key weaknesses. Calls for a governance overhaul include stronger oversight mechanisms and clearer reporting lines to mitigate future risks.